

PRINCIPLES OF MANAGEMENT

Course Code IHS 222

Sem IV Batch IV

Lec 3

Unit II

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PLANNING – AN OVERVIEW



Planning: Meaning, Nature, Importance & Process

Includes:

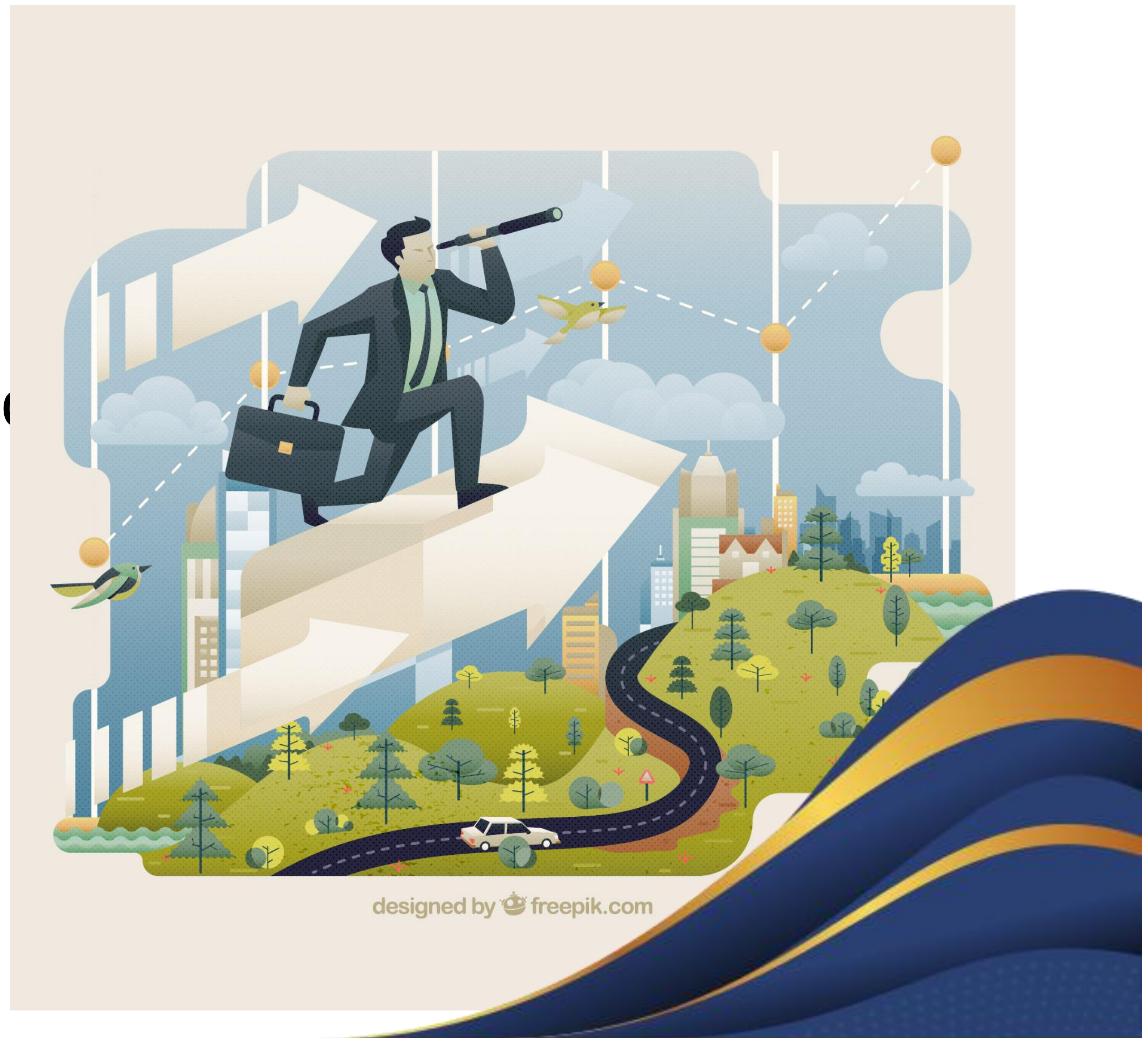
**Objectives, Policies, Planning
Premises, Types of Plans, Decision
Making, MBO & Principles of
Planning**



Meaning of Planning

Planning is the process of deciding:

- **What** to do
- **How** to do
- **When** to do
- **Who** will do it





Definition

“Planning is deciding in advance what to do, how to do it, when to do it and who is to do it.”

(Koontz & O'Donnell):



LATEST TREND IN IT

in first 9 months of the current financial year 2025-26

Sharp decline in IT employments in **leading MNCs – TCS, Infosys, WIPRO,
Tech Mahindra, HCL**

TCS recorded retrenchment and fall out of **25,816 employees**

TCS recruited **5,090 employees**

Fall out of **30,906 employees**

Infosys recorded fall out of **13.76 % employees**

Wipro fallout **14.2%**

Comparing the employment in 2024 -25 **decrease is 105%**



Nature (Characteristics) of Planning

- Goal-oriented
- Future-oriented
- Pervasive (at all levels)
- Continuous process
- Intellectual process
- Primary function of management



Importance of Planning

- Provides direction
- Reduces uncertainty
- Minimizes risk & wastage
- Facilitates coordination
- Improves efficiency
- Basis for control





Case Study – Importance of Planning

Case: COVID-19 & Zomato
Restaurants without contingency planning shut down

Zomato planned:
Contactless delivery
Grocery delivery
Cost restructuring

learning: Proper planning helps organizations survive uncertainty





Levels of Planning

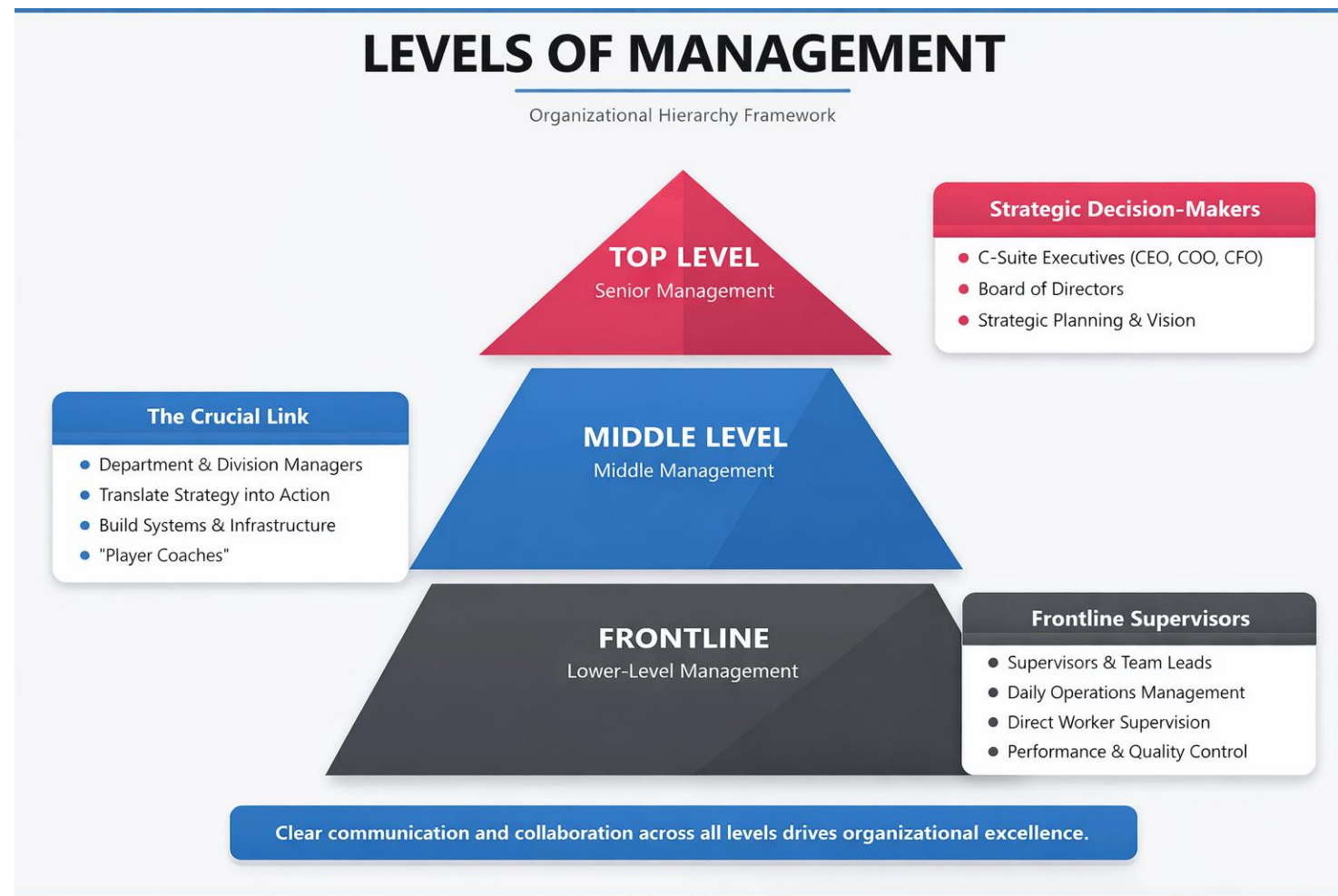
Strategic Planning – Top Management

Tactical Planning –

Middle Management

Operational Planning –

Lower Management



Objectives – Meaning

Objectives are:

End results to be achieved

Foundation of planning

Specific & measurable targets

✚ *Example:*

Increase market share by 10%
in 1 year





Setting Objectives (SMART)

Objectives should be:

Specific

Measurable

Achievable

Realistic

Time-bound



Policies – Meaning

Policies are:

General guidelines for decision-making

Repetitive situations

Ensure consistency

✚ *Example:*

“Promotion is based on merit and performance”



Planning Premises

Planning premises are **assumptions** about:

- Internal environment (cost, capacity)
- External environment (market, technology, govt policy)

✚ *Example:*

- Assumption: Interest rates will remain stable



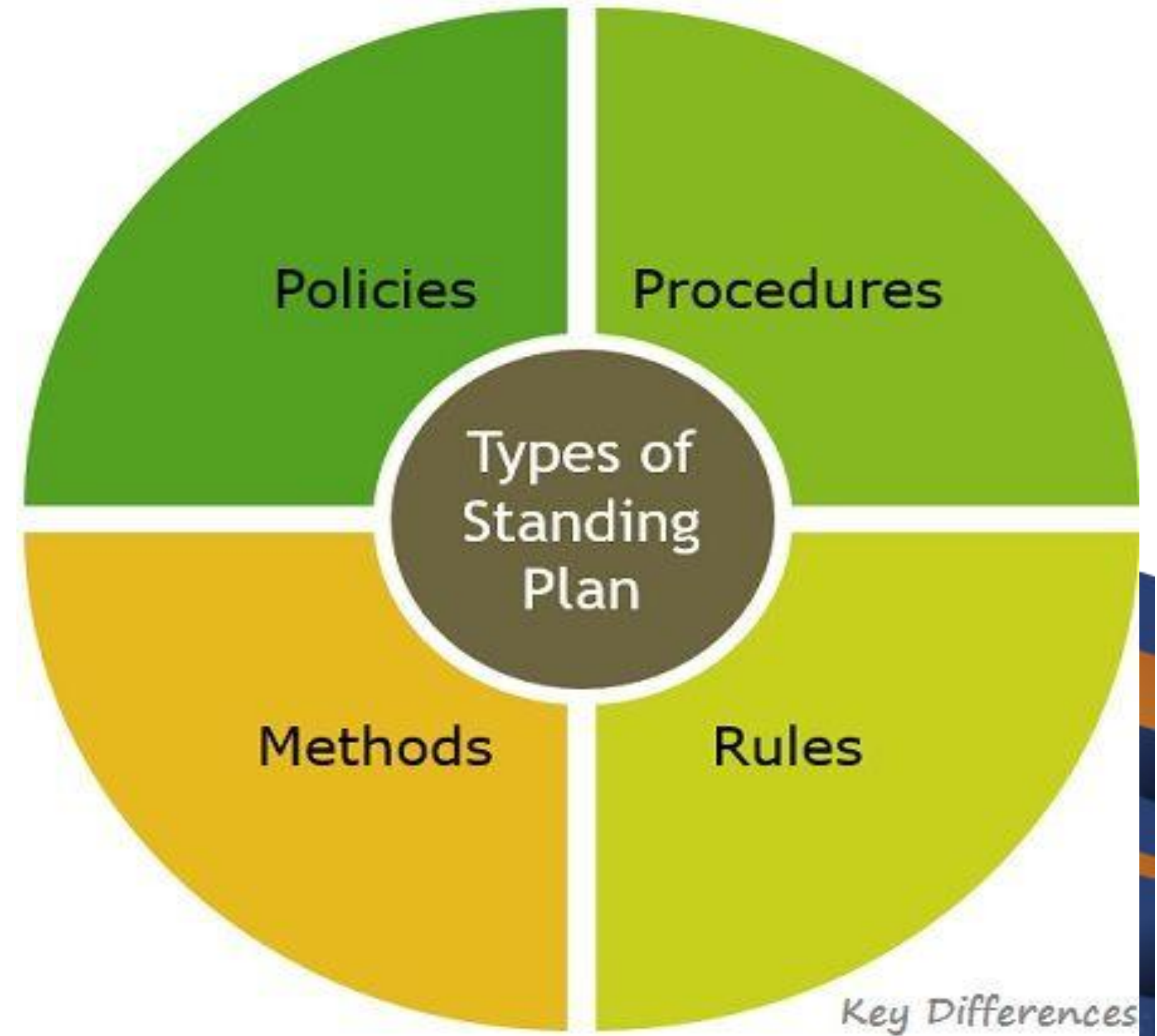
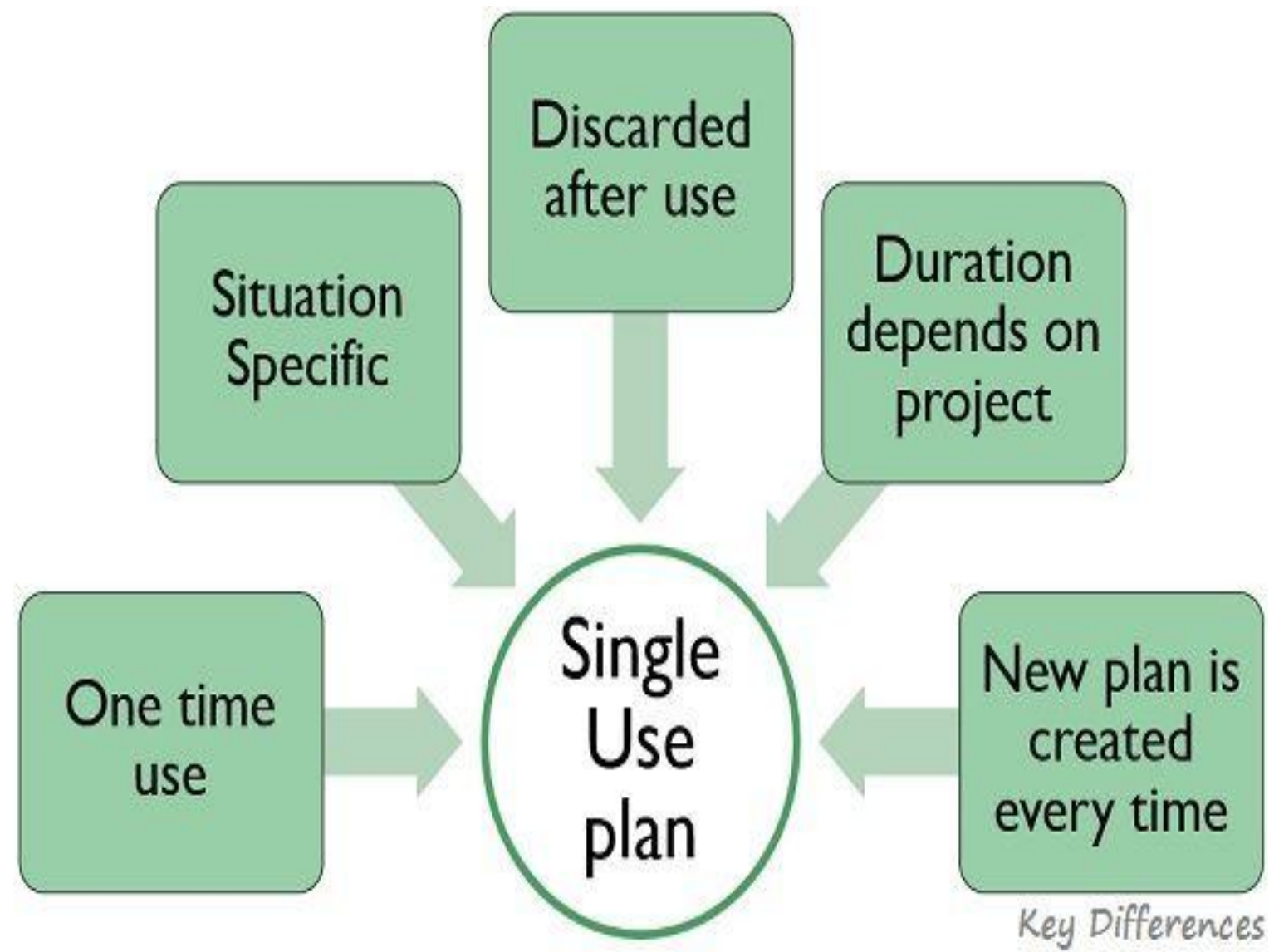
Types of Plans

Based on Use:

Single-use plans: Budgets, Projects,
Programs

Standing plans: Policies, Procedures, Rules





Process of Planning

Setting objectives

Developing premises

Identifying alternatives

Evaluating alternatives

Selecting best plan

Implementing plans

Follow-up & control



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Decision Making

Decision making is:

Selecting the best
alternative

Integral part of planning



Steps:

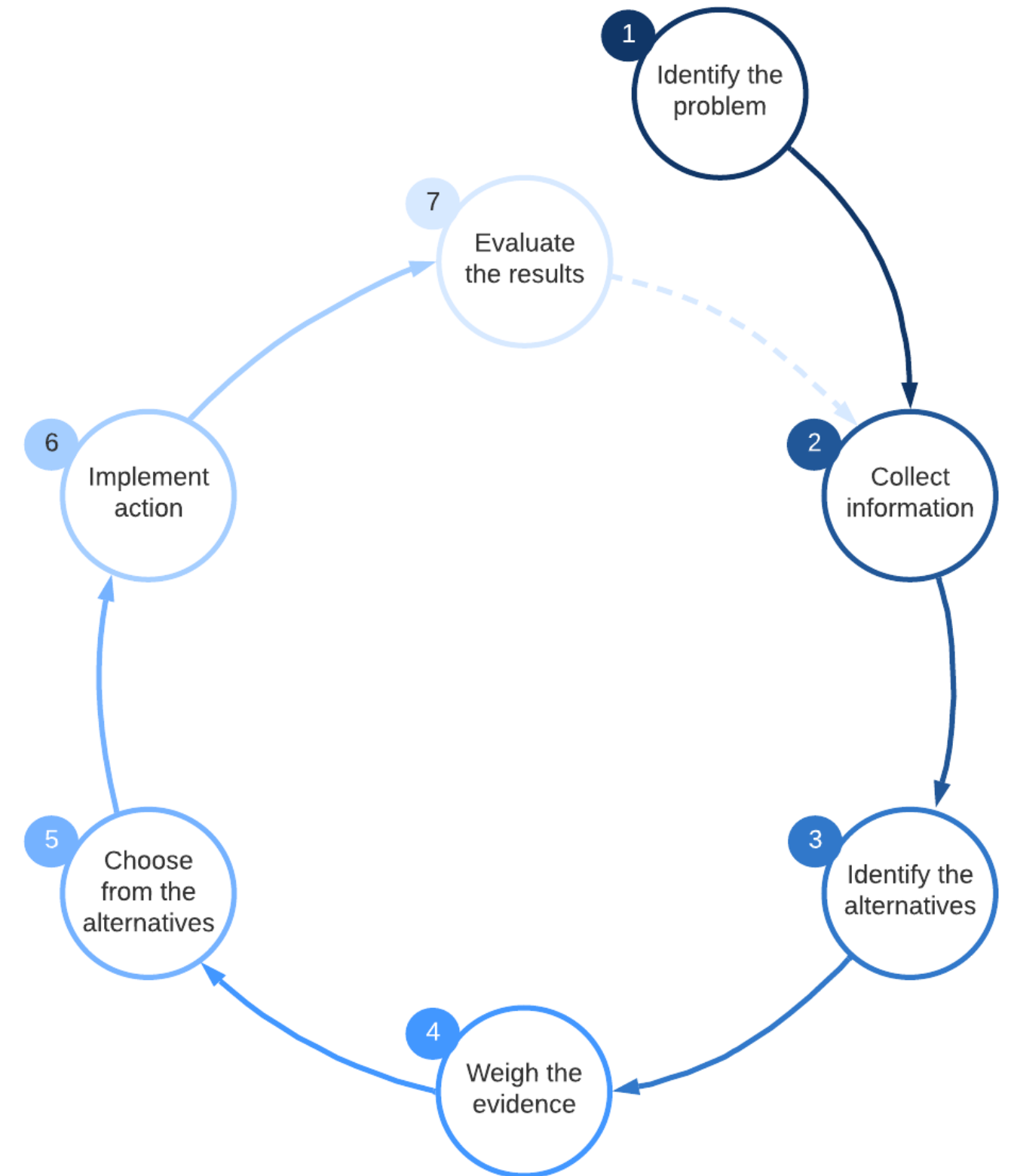
Identify problem

Develop alternatives

Evaluate alternatives

Select best option

Implement decision



Case Study – Decision Making

Case: Netflix vs Blockbuster

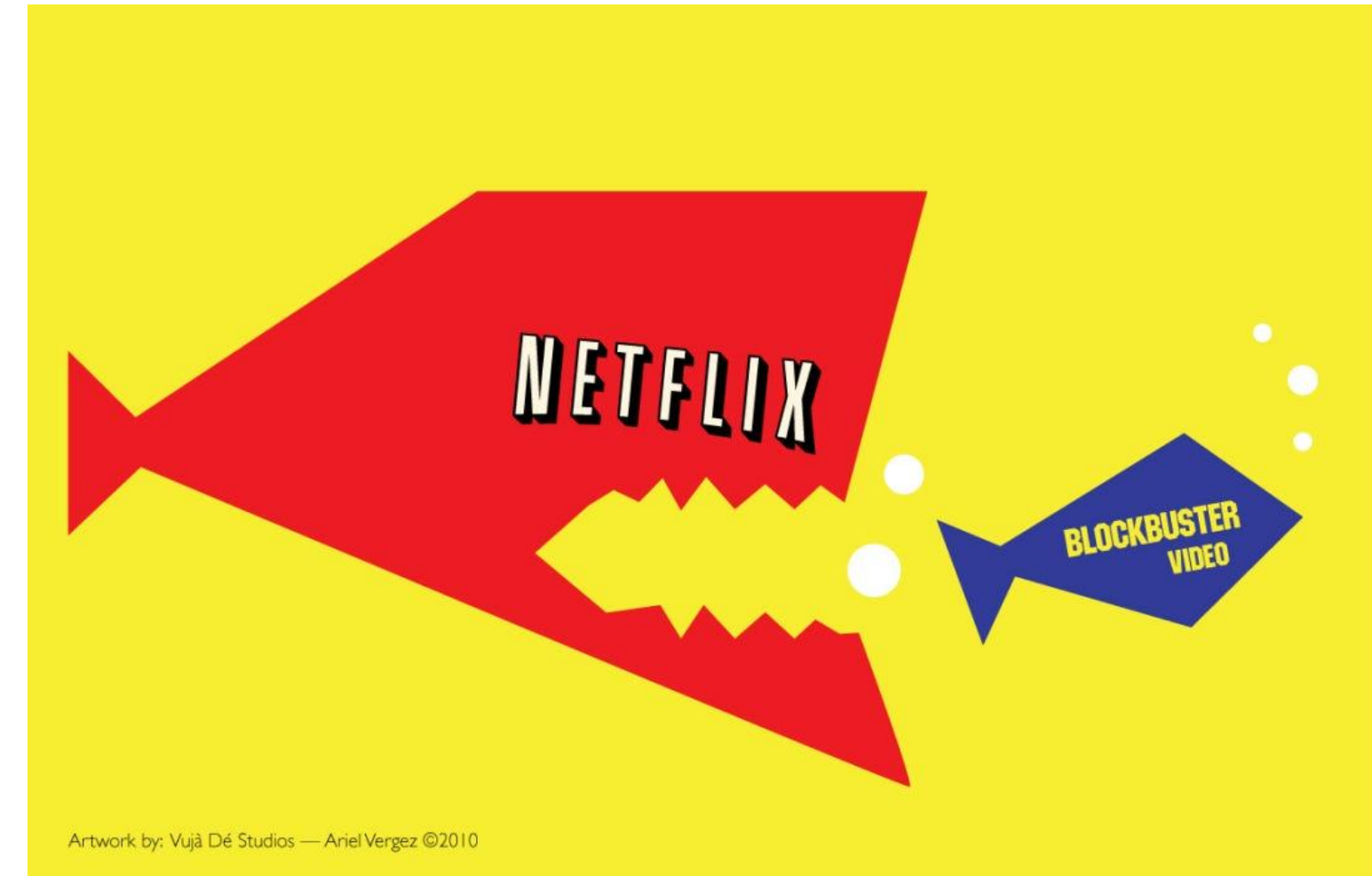
Blockbuster ignored digital shift

Netflix planned long-term:

- Online streaming

- Data-driven decisions

✚ *Outcome:* Netflix succeeded;
Blockbuster failed





Management by Objectives (MBO)

MBO is a system where:

Objectives are jointly set

Performance is measured against objectives

✚ *Developed by: Peter Drucker*



Process of MBO

Setting organizational objectives

Setting individual objectives

Periodic performance review

Feedback & appraisal



Advantages of MBO

Better coordination

Employee motivation

Clear goals

Objective performance appraisal



Limitations of MBO

Time-consuming

Difficult to set measurable goals

Overemphasis on short-term goals



Principles of Planning

Principle of contribution to objectives

Principle of primacy of planning

Principle of efficiency

Principle of flexibility

Principle of commitment



Case Study – Failure Due to Poor Planning

Case: Nokia

Failure to plan smartphone strategy

Ignored Android ecosystem

Poor long-term planning

✚ *Learning:* Planning must be dynamic & flexible



Summary

Planning is the foundation of management

Effective planning leads to success

Poor planning leads to failure

Dynamic environment needs flexible planning

✚ *Image:* Road to success graphic





THANK YOU

**Discipline is choosing between what you want now and
what you want most.”**

— Abraham Lincoln